

Voluntary Report – Voluntary - Public Distribution

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Report Name: Colombia Decreases its Ethanol Fuel Blend Again

Country: Colombia

Post: Bogota

Report Category: Agricultural Situation, Biofuels

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Report Highlights:

On September 9, the Colombian government released a new resolution to decrease its ethanol blend level to four percent (E4), effective September 11. Incremental increases are scheduled in the following 90 days, culminating with E10 by January 2022. This new measure attributes the change to an increase in fuel demand due to economic recovery, a local ethanol supply shortage because of heavy rains in the sugarcane producing region, and the closure of some ethanol plants for maintenance. In March 2021, Colombia temporarily decreased its E10 mandate to E4, with plans to return it to E10 by September 2021. Earlier this summer, Colombia increased its blend mandate to E7 and E8.

Previous Colombian Government Resolutions that Decreased the Blend Mandate: Since mid-2017, Colombia has maintained an ethanol blend mandate between eight percent (E8) and ten percent (E10) in most of the country due to increasing ethanol imports and steady local production. However, on March 31, 2021, Colombia's Ministries of Mines and Energy (MME), Agriculture and Rural Development (MARD), and Environment and Sustainable Development (MESD) issued [Resolution 40100 of 2021](#), which suddenly decreased the ethanol blend mandate in gasoline from E10 to E4, effective April 1, 2021. The resolution declared that subsequently the blend mandate would increase to E6 in July 2021, to E8 in August 2021, and to E10 in September 2021, subject to the issuance of new MME resolutions that establish the monthly fuel and biofuel prices (See GAIN Report: [Colombia Decreases Ethanol Blend Mandate from E10 to E4](#)).

Despite the Colombian government increasing the ethanol blend mandate to E7 in July and to E8 in August, on August 12, 2021, the Colombian government issued [Resolution 40261 of 2021](#) decreasing the ethanol blend mandate again. According to this resolution, Colombia would decrease the ethanol blend mandate from E8 to E6 for a 3-month period starting in September 2021. Subsequently, the blend mandate would increase to E8 in December 2021 and to E10 in January 2022, subject to the issuance of new MME resolutions that establish the monthly fuel and biofuel prices (See GAIN Report: [Colombia Will Not Resume E10 Blend Mandate in 2021](#)).

The Latest Colombian Government Resolution: On September 9, Colombia's MME, MARD, and MESD issued a new measure: [Resolution 40294 of 2021](#), which decreased the ethanol blend mandate in gasoline to four percent (E4), starting on September 11, 2021. Subsequently, the blend mandate will increase to E6 in October and November, to E8 in December 2021, and to E10 in January 2022, subject to the issuance of new MME resolutions that establish the monthly fuel and biofuel prices. The other provisions in the previous resolution (40261) remain unchanged.

According to the Colombian government, the blend mandate decrease is in response to an increase in fuel demand due to economic recovery, a lower local supply of biofuels associated with adverse weather conditions in the sugarcane producing region, operational maintenance, uncertainty in ethanol import volumes given high international prices coupled with the countervailing duty (See GAIN Report: [Colombia Imposes 2 Year Duty on US Ethanol After CVD Investigation](#)), and the devaluation of the Colombian peso against the U.S. dollar.

Below is an unofficial translation of Resolution 40294's provisions:

Article 1. *Modify table 1 "Months of entry into force of the mandatory percentages of fuel alcohol - ethanol in the mixture with regular and extra fossil motor gasoline, at the national level" of article 1 of resolution 40261 of 2021, in the sense of establishing the fuel alcohol content - ethanol in the mixture*

with regular and extra fossil motor gasoline, which is distributed nationwide by retail distributors, according to the following table:

Table 1. Months of entry into force of the mandatory percentages of fuel alcohol - ethanol in the mixture with regular and extra fossil motor gasoline, at the national level.

<i>Effective during the month of:</i>	<i>Fuel alcohol content in regular and extra motor gasoline, expressed as a percentage in each gallon or liter</i>
<i>September of 2021</i>	4%
<i>October of 2021</i>	6%
<i>November of 2021</i>	6%
<i>December of 2021</i>	8%
<i>As of January 2022</i>	10%

Article 2. *The other provisions established in Resolution 40261 of 2021 will remain in force.*

Article 3. *This resolution enters into force from its publication in the official gazette and modifies table 1 of article 1 of resolution 40261 of 2021. However, a term of 15 calendar days following the publication of this resolution will be granted to distribute the fuels that remain in the inventories and comply with the biofuels blending parameter provided for in the previous regulation.*

Attachments:

No Attachments.